

Adobe Just Reported Its Best AI Quarter. The Stock Is 48% Off Its 52-Week High

Three things hit Adobe the same night. The market priced all three as permanent. The primary sources say otherwise.



PRIMARY SOURCE ARBITRAGE

JUN 17, 2026

On June 11, Adobe reported Q2 FY2026. AI-first ARR crossed \$500 million, up 3x YoY. Firefly ARR approached \$300 million, up approximately 50% QoQ. CXO AI-first ARR grew 4x YoY. RPO grew 13% YoY. Revenue of \$6.62 billion beat consensus by \$175 million. Full-year revenue guidance raised to \$26.55 billion. Non-GAAP EPS guidance raised to \$24.40. Non-GAAP operating margin reiterated at 45%.

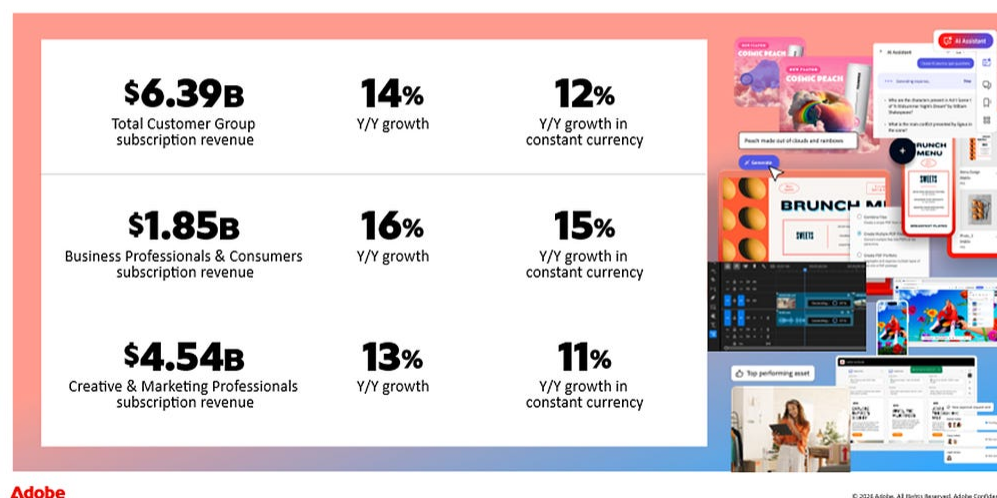
The stock broke its 52-week low intraday on June 12, hitting \$196.90. It has since recovered to \$207. The stock is 48% below its 52-week high.

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Three things hit the same night. The market is pricing all three as permanent impairments to the business. This post argues they are not.

Q2 FY2026 | Customer Group Results



Q2 FY2026 customer group subscription revenue. Source: Adobe Q2 FY2026 Earnings Prepared Remarks, June 11, 2026.

Three Compressors, One Night

1. CEO Shantanu Narayen announced his departure on March 12. No successor named. The board's stated goal is to have the incoming CEO in place to lead FY27 planning. That process is ongoing.
2. CFO Dan Durn announced his departure on June 11 to become CFO of Marvell. Two consecutive quarters, two of the most senior executives gone. Steve Day, a 20-year Adobe finance veteran, steps in as interim CFO while the company executes the most complex monetization transition in its history. Per Morgan Stanley's Q2 note, Adobe is undertaking a meaningful strategic transition while managing turnover in two of its most senior roles. That is the correct characterization of the execution risk. A CEO transition alone introduces uncertainty. A simultaneous CFO departure during

the most complex monetization transition in the company's history is a different risk profile. Both compressors are real.

3. Adobe maintained its full-year total ARR growth guidance at 10.2% YoY. In Q1, that 10.2% guidance explicitly excluded Semrush, which had not yet closed. Per Steve Day verbatim: "Our FY26 Total Adobe ARR growth target of 10.2% now reflects both the addition of the Semrush book of business as well as the strategic choice to accelerate MAU freemium growth and defer previously planned Creative Cloud line optimizations." The same headline number now includes \$480 million of Semrush ARR acquired in April. Strip the acquisition and organic ARR growth for the full year falls to roughly 8%, down from the 10.2% organic baseline explicitly guided at the start of the year. Same number. Materially different organic content underneath it. That is what the market sold.

Why the ARR Guide Was Cut

Here is what Narayan said on the Q2 call about why.

Narayan, verbatim: "I think as it relates to the impact on ARR, you can think of it as maybe half of the impact of ARR is as a result of what we are doing around deferring that creative price line optimizations. And the other half is about going full steam on what it takes to deliver the freemium experience."

Two scheduled management decisions. Not competition. Not demand destruction. Not churn.

Half is Creative Cloud pricing actions planned for the second half that have been deferred. Narayan on the same call: "It's not going away." The pricing lever exists. Management chose not to pull it while the market message is singular around freemium acquisition. It comes back when they pull it.

The other half is Adobe deliberately routing new visitors away from direct-to-paid journeys into friction-free freemium onboarding. Per Wadhvani verbatim: “This shift will come at the cost of short-term ARR, but will accelerate user acquisition and MAU while building the foundation for long-term growth by removing friction from user onboarding, enabling deeper user engagement and driving stronger lifetime value (LTV).”

Adobe is trading near-term ARR bookings for a larger funnel and higher LTV. Both halves of the cut are recoverable. Neither is structural impairment of the underlying business.

FY2026 Financial Targets¹ | June 11, 2026

Total Revenue	\$26.50 billion to \$26.60 billion	
Business Professionals & Consumers subscription revenue	\$7.44 billion to \$7.48 billion	
Creative & Marketing Professionals subscription revenue	\$18.21 billion to \$18.27 billion	
Total Adobe ending ARR growth	10.2% year over year	
Earnings per share ²	GAAP: \$17.90 to \$18.00 Non-GAAP: \$24.35 to \$24.45	

The information on this slide contains forward looking statements that involve risk and uncertainty. Actual results may differ materially. Please review Adobe's SEC filings and/or visit the Adobe Investor Relations website for additional information.

1. Targets factor in expectations for Semrush Holdings, Inc.

2. Targets assume non-GAAP operating margin of ~45.0%, GAAP tax rate of ~22.5%, non-GAAP tax rate of ~18.0% and diluted share count of ~399 million for FY2026.

Adobe

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FY2026 total ARR growth target of 10.2% now includes approximately \$480 million from Semrush. Source: Adobe Q2 FY2026 Earnings Prepared Remarks, June 11, 2026.

Two Businesses Inside One Stock

To read the quarter correctly the business needs to be split. There are two customer populations inside Adobe right now and they are experiencing entirely different conditions.

The enterprise is not experiencing what the headline ARR guide implies.

1. CXO AI-first ARR grew 4x YoY.
2. AI-first ARR grew 3x YoY to above \$500 million.
3. ARR across GenStudio, AEP, and apps, and AEM and agentic web grew above 20% YoY.
4. Enterprise customers with over \$10 million in ARR grew above 20% YoY.
5. Subscription revenue for AEP and native apps grew over 30% YoY.
6. Over 80% of AEP and AEM customers are now using native agentic capabilities.

The seat-count bear case, that AI generates images, humans cancel subscriptions, revenue compresses, requires that the pricing model be per-seat. Adobe's enterprise CX products are not priced on seats. The CX business is priced on volumes, usage, and outcomes. A company paying Adobe based on how many customer experiences it delivers does not reduce its bill because generative AI made its humans more productive. It increases its bill because it is producing more content and delivering more experiences. The displacement logic structurally breaks at the pricing model.

cRPO is the contracted portion of remaining performance obligations due within the next twelve months. RPO covers all future periods; cRPO isolates the next twelve months, making it the cleaner forward indicator of near-term demand from existing customers. In Q1 cRPO grew 11% in constant currency. In Q2 it grew 12%. It accelerated. Customers renewed and committed to more forward spend at a slightly higher rate in the same quarter the organic ARR guide was cut.

The individual subscriber funnel is where the ARR cut lives. Adobe is redirecting new visitors away from direct-to-paid journeys, where a user clicks an ad, lands on a pricing page, and either buys or leaves, into friction-free experiences where they complete a task first, build a habit, and encounter a paywall later. The bet is that a user who has already experienced the product converts at a higher rate and retains longer than one who paid without ever using it.

The early data supports the bet. Creative freemium MAU crossed 90 million in Q2, up from 80 million in Q1 and above 50 million a year ago. The growth rate accelerated from 50% YoY in Q1 to over 70% in Q2. Adobe.com traffic grew over 40% YoY. BP&C traffic grew 35%. C&CP traffic grew over 50%.

Wadhvani, verbatim, Q2 FY2026 earnings call, June 11, 2026: “when they convert to a paid user, they tend to have much higher engagement and usage patterns than those that go directly into paid, which translates into long-term LTV and long-term value for the company.”

That is a reported customer behavior observation from cohorts already in the funnel, not a projection.

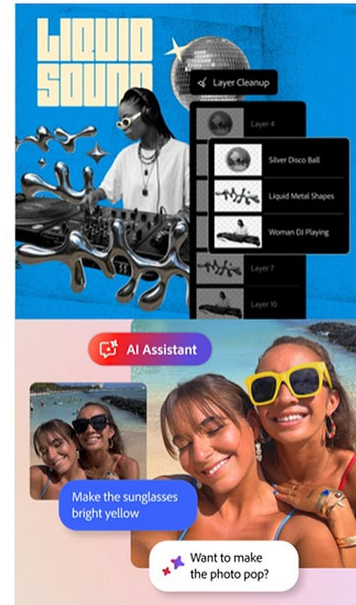
Adobe did this with Acrobat Reader. They tried to charge for Reader. Customers declined. Adobe made it free, built the largest PDF install base on the planet, and monetized it through paywalls, AI Assistant, and enterprise upgrades for decades. Wadhvani said on the Q2 call that the same data infrastructure is now being applied to Firefly and Express. The question is not whether the model works historically. It is whether the incoming CEO preserves the strategy long enough to let it play out. That is the correct risk to be underwriting. Not competition. Not demand destruction.

Creative & Marketing Professionals

- Growth in Creative Cloud driven by the CC Pro offering;
- Creative freemium MAU, which includes web and mobile versions of Firefly, Express, Premiere, Photoshop and Lightroom, crossed 90 million, growing >70% Y/Y;
- Continued strong generative credit consumption driven by video and audio;
- Firefly ending ARR, including Firefly apps and credit plans and Enterprise Firefly offerings, approaching \$300 million, with the intent to drive more traffic to Firefly freemium in H2;
- Ending ARR across GenStudio, AEP + Apps, and AEM + Agentic Web growing 20%+ Y/Y;
- Enterprise customers with \$10+ million in ARR growing 20%+ Y/Y; and
- Continued strength in retention across the Enterprise customer base.

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Firefly ending ARR approaching \$300 million exiting Q2, with intent to drive more traffic to Firefly freemium in H2. Source: Adobe Q2 FY2026 Earnings Prepared Remarks, June 11, 2026.

The Valuation

As of June 16, ADBE trades at 6.41x NTM EV/EBITDA. The September 2022 trough was hit when the Fed funds rate was 3.0 to 3.25% and the hiking cycle had not yet peaked. Rates ultimately reached 5.25 to 5.50% before being cut back to the current 3.50 to 3.75%, essentially the same level as that 2022 trough. The multiple then was 13.33x. It is 6.41x now, on a business generating \$25 billion in annual revenue versus \$17.6 billion in 2022.

Morgan Stanley's bear case is \$190, derived at 8x FY2027 EPS of \$23.91, assuming generative AI adds little upside, competition is fierce, and macro deteriorates. Their base case is \$365. The options market prices a 42% probability that ADBE is below \$190 within twelve months.

Zelnick at Deutsche Bank cut his target to \$260 using a DCF with a 2% terminal growth rate and a 12% WACC. A 2% terminal growth rate applied to a 45% non-GAAP operating margin business generating \$2.17 billion of OCF in a single quarter is a structural decline assumption, not a neutral baseline. He maintained Hold. Per Vula at JPMorgan verbatim: "Remain OW; Dec 2026 PT to \$340, primarily driven by a rerating of peer group multiples." Sector compression confirmed in the analyst's own words, priced by the market as if it were company-specific deterioration.

The Thesis Clock

The Firefly ARR trajectory is the number that matters most. Q1 FY2026: exceeded \$250 million at 75% QoQ growth. Q2 FY2026: approaching \$300 million at approximately 50% QoQ. Adobe has explicitly stated the intent to drive more traffic to Firefly freemium in H2, which means the near-term growth rate will slow before the conversion cohorts mature. The trajectory still needs to imply above \$500 million by the end of FY2027 for the thesis to hold.

Both pre-registered gates cleared on June 11. RPO at or above 10% YoY, cleared at 13%. Firefly ARR QoQ at or above 30%, cleared at approximately 50%. The pre-registered action was hold. The position is held.

The break conditions are as follows.

1. The incoming CEO publicly signaling a strategic review or reversing the freemium pivot triggers an immediate reduction regardless of any other metric.
2. Q4 FY2026 ARR not re-accelerating from the pre-disclosed Q3 trough is a thesis clock failure. Narayen verbatim: "more of the

freemium traffic changes concentrate in Q3, with enterprise seasonality proportionately heavier in Q4 than prior years.”

3. Firefly ARR trajectory implying less than \$500 million by end of FY2027 based on two consecutive quarters of deceleration triggers exit review.
4. RPO growth above 10% YoY for four consecutive quarters and Firefly ARR crossing \$500 million and NTM EV/EBITDA remaining below 10x through end of FY2027 triggers exit review. If the thesis plays out and the market still refuses to reclassify, continuing to hold a position that the market has permanently discounted is its own risk.

Adobe reported \$500 million of AI-first ARR growing 3x YoY. The stock hit a 52-week low the next morning.

Pushback welcome.

Disclosure: I hold a position in Adobe. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: Adobe Q2 FY2026 earnings call prepared remarks and transcript, June 11, 2026 — Narayen, Wadhvani, Chakravarthy, Day verbatim; Adobe Q1 FY2026 earnings call, March 12, 2026; Morgan Stanley Adobe Q2 2026 note, June 12, 2026; JPMorgan Adobe Q2 2026 note, June 11, 2026 — Vula verbatim; Deutsche Bank Adobe Q2 2026 note, June 12, 2026 — Zelnick. TIKR Terminal multiples as of June 16, 2026. Stock price data from Yahoo Finance.

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